

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-21

MSRF, INC. v. YANG MING MARINE TRANSPORT CORPORATION

COMPLAINANTS RESPONSE TO RESPONDENT'S

PROPOSED FINDINGS OF FACT

PUBLIC VERSION

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PROPOSED FINDINGS OF FACT**

Pursuant to the Initial Order of August 22, 2022, the Presiding Officer's Order of October 13, 2022, and Commission Rule 214 (46 C.F.R. § 502.214), Complainant MSRF submits the following response to Respondent Yang Ming Transport Corporation's Proposed Findings of Fact ("RPFFs").

A. The Parties

RPFF1. Yang Ming is a vessel-operating common carrier (VOCC) (ocean common carrier).

Response: Admitted.

RPFF2. Yang Ming is a member of THE Alliance Agreement, FMC Agreement No. 012439 ("THEA"), originally filed with the Federal Maritime Commission on November 4, 2016 and effective on December 19, 2016. That Agreement authorizes the Parties, *inter alia*, to charter and exchange space on one another's vessels and to rationalize, coordinate and cooperate with respect to the Parties' transportation services and operations. The current parties (and parties for all of the relevant time period) to THEA are Hapag Lloyd Aktiengesellschaft and Hapag-Lloyd USA LLC, Ocean Network Express Pte. Ltd., HMM Company, Limited, and Yang Ming

Marine Transport Corporation. Federal Maritime Commission website at <https://www2.fmc.gov/FMC.Agreements.Web/Public/AgreementHistory/1912>

Response: Admitted.

RPFF3. THEA is a vessel sharing agreement. Its purpose is to authorize the Parties to charter and exchange space on one another's vessels and to rationalize, coordinate and cooperate with respect to the members' transportation services and operations in order to improve efficiency, save costs, and provide premium service to the shipping public. FMC Agreement No. 012439, Article 3. The members of the THEA jointly coordinate the operation and sharing of space on vessels in all trades in which the members operate vessels. The members charter and exchange space on their own vessels for space on other THEA members' vessels. *Id.*

Response: Admitted.

RPFF4. MSRF, Inc. ("MSRF") is a sophisticated shipper, which has been importing and exporting cargo to and from the U.S. via ocean common carrier for over 30 years. RX_000121-RX_000125.

Response: MSRF admits the assertion that MSRF has imported and exported cargo to and from the U.S. via ocean common carrier for over 30 years. MSRF denies that MSRF is a sophisticated shipper as that term is not defined.

RPFF5. David Reich is president, founder, and majority shareholder of MSRF. Declaration of David Reich, CX_0001.

Response: Admitted.

RPFF6. MSRF exports raw foodstuff from the United States RX_000225.

Response: Denied. RX_000225 states that the exported commodity was “Hot Sauce.” The term “raw foodstuff” in RPFF6 implies that MSRF exports raw, unprepared food products from the United States. This is not true.

RPFF7. MSRF also imports repackaged foodstuffs for private label sales in the United States. RX_000121-RX_000125.

Response: MSRF admits that it imports gourmet foods and food gifts. MSRF denies that the imported products are “repackaged” or are “for private label sales” as those terms are not defined.

RPFF8. During the relevant time period, Paul Goeke was Yang Ming’s sales representative for MSRF. RX_000300 (Goeke Declaration ¶8)

Response: Admitted.

RPFF9. Mr. Goeke was named in Service Contract No. 494721 between MSRF and Yang Ming (the “Service Contract”) as the Yang Ming point of contact. CX_0006.

Response: Admitted.

B. Negotiation of The Service Contract

RPFF10. In 2020, MSRF requested that Yang Ming prepare a bid to provide transportation services to MSRF for contracting year 2020-2021. RX_000300. (Goeke Declaration ¶9); RX_000257-RX_000272.

Response: Admitted.

RPFF11. MSRF did not, however, select Yang Ming for a service contract in 2020, opting instead to renew service contracts it had with other ocean carriers. RX_000300 (Goeke Declaration ¶10); RX_000273.

Response: MSRF admits that it did not conclude a service contract with Yang Ming in 2020. MSRF denies that RX-000300 states that MSRF renewed service contracts with other ocean carriers.

RPFF12. In 2021, Yang Ming again responded to MSRF's request for quotations. RX_000300 (Goeke Declaration ¶11).

Response: Admitted.

RPFF13. As Yang Ming and MSRF negotiated what would ultimately become the Service Contract, on February 10, 2021, MSRF told Yang Ming that it could not forecast its transportation requirements for 2021-2022, but that it was willing to commit to tender a Minimum Quantity Commitments ("MQC") of 100 TEUs of cargo to Yang Ming during the 2021-2022 service contract year. RX_000272.

Response: Admitted.

RPFF14. The Service Contract was the first ever service contract between Yang Ming and MSRF. RX_000300 (Goeke Declaration ¶14).

Response: Admitted.

RPFF15. Yang Ming was not the only ocean common carrier with which MSRF contracted during the 2021-2022 term. During the period covered by the Service Contract, MSRF had service contracts with at least two other vessel operating common carriers in the same U.S.-foreign trades as that covered by the Service Contract. RX_000138(worksheet produced by MSRF on March 17, 2023 in response to Respondent's Interrogatory (showing service contracts with 3 ocean common carriers)).

Response: MSRF admits that it had service contracts with two other VOCCs during the 2021-2022 term. MSRF denies the implication that it may have had service contracts with more than

two other VOCCs.

RPFF16. Between May 1, 2021 and April 30, 2022, MSRF had a service contract with Evergreen Line Joint Service Agreement (“EGL” or “Evergreen”) for 50 TEUs. RX_000138.

Response: Admitted.

RPFF17. Between May 1, 2021 and April 30, 2022, MSRF had a service contract with HMM Company Limited (“HMM”) for 25 FEUs (50 TEUs) for carriage to and from the U.S. MSRF’s Verified Complaint in Docket No. 22-20 at ¶26. RX_000138.

Response: MSRF admits to the existence of a service contract. MSRF denies that the quantity stated in RX_000138 was 50 TEUs. It was 100 TEUs. RX_000138

C. The Service Contract Agreed to by MSRF and Yang Ming

RPFF18. The Service Contract (No. 494721) was signed by MSRF and Yang Ming on April 13, 2021. CX_0006.

Response: MSRF admits as to the existence of the service contract, that it was created on April 13, 2021, and that it was signed by MSRF. MSRF denies that the service contract was signed by Yang Ming and that it was signed on April 13, 2021.

RPFF19. The MSRF signatories to the Service Contract were its President, David Reich, its Vice President, Jeffrey Reich, and Rochi Mirasol (Logistic, Customs Compliance Procurement). CX_0006.

Response: Admitted.

RPFF20. The Service Contract was filed by Yang Ming with the Federal Maritime Commission (“FMC”) on April 18, 2021. RX_000300 (Goeke Declaration ¶15).

Response: Admitted.

RPFF21. The Service Contract consisted of two basic parts: (i) a narrative document containing the terms and conditions of the agreement (typically referred to as the “boilerplate”) RX_000028-RX_000034(Signature Page; Service Contract Terms); and (ii) two Appendices (originals in excel spreadsheets) showing a summary, and tabs for header, (geographic) scope, affiliates, commodities, ocean freight, detention & demurrage, port group, formula, assessorial, equipment, and surcharge abbreviations. CX_0007-CX_0023 (Transpacific Westbound(“TPWB”)); RX_000002-RX_000012 (Transpacific Eastbound (“TPEB”))(“Amendment #0”).

Response: Admitted.

RPFF22. The header tab of the Appendices summarizing the minimum quantity commitment (“MQC”) in the Service Contract as filed on April 18, 2021 shows the notation “TPEB+TPWB,” standing respectively for Transpacific Eastbound and Transpacific Westbound, which indicated that the contract terms (including the MQC) were to cover both U.S import and export directions. CX_0006 (TPWB); RX_000002 (TPEB).

Response: Admitted.

RPFF23. The geographic scope of the Service Contract was specified in the Appendices; as to and from six Baseports in China (Yantian, Hong Kong, Shanghai, Ningbo, Qingdao, and Xiamen) to and from USWC and USEC. CX_0008-CX0009 (TPWB); RX_000007 (TPEB).

Response: Admitted.

RPFF24. As originally filed with the FMC, the Service Contract contained ocean freight rates in the Eastbound direction from six Baseports in China (Yantian/Hong Kong/Shanghai/Ningbo/Qingdao/Xiamen) to sixteen destinations in the United States and Canada (Alsip, IL, Bedford Park, IL, Des Plaines, IL, Itasca, IL, Chicago, IL, New York, NY,

Los Angeles, CA, Oakland, CA, Savannah, GA, Apple Valley, CA, Columbus, OH, Durant, OK, Montgomery, AL, Richmond, CA, Montreal, QC, Houston, TX). RX_000008(TPEB),

Response: Admitted.

RPFF25. As originally filed with the FMC, the Service Contract also contained ocean freight rates in the Westbound direction from four origin locations in the U.S. (Alsip, IL; Countryside, IL; Fort Mill, SC; and St. Martinville, LA) to three destinations in China (Qingdao, Hong Kong, and Xiamen). CX_0014 (TPWB).

Response: Admitted.

RPFF26. Article 7 of the Service Contract, which remained unamended throughout the term of the Service Contract, stated, in its entirety, as follows:

“7) CARRIER SERVICE COMMITMENTS

{

}”

RX_000030.

Response: Admitted.

RPFF27. As admitted in discovery by MSRF, nothing in the Service Contract required Yang Ming to provide MSRF with any specific amount of space between any specific port pair or origin/destination. RX_000144; RX_000149.

Response: Admitted.

RPFF28. Article 11 of Service Contract which remained unamended throughout the term of the Service Contract, stated, in its entirety, as follows:

“11) LIQUIDATED DAMAGES

{

}

RX_000031-000032.

Response: Admitted.

RPFF29. MSRF has admitted in discovery in this proceeding that the Service Contract Article 11 provided for liquidated damages. RX_000144.

Response: Admitted that Article 11 of the Service Contract as set forth in RX_000031-000032 Provides for liquidated damages. MSRF denies the proposed RX_000144 references Article 11. It references Article 12 of the Service Contract.

RPFF30. Under the terms of the Service Contract as initially agreed and filed on April 18, 2021, MSRF agreed to tender an MQC of 100 Twenty-foot Equivalent Units (TEUs) to Yang Ming during the term of the Service Contract. RX_000142.

Response: Admitted.

RPFF31. The Service Contract was amended by the parties seven times between its effective date (May 1, 2021) and its expiration date (April 30, 2022). RX_000301 (Goeke Declaration¶¶ 17-24).

Response: Admitted.

RPFF32. As stated by MSRF in discovery, MSRF agreed to each and every one of those amendments. RX_000151.

Response: Admitted.

RPFF33. Amendment No. 1 added ocean freight rates for Westbound shipments from origin Lockport, IL (effective May 1, 2021). CX_0029.

Response: Admitted.

RPFF34. Amendment No. 2 added ocean freight rates for Eastbound destination Toronto, Ontario (Canada)(effective May 12-June 30, 2021). CX_0046.

Response: Admitted.

RPFF35. Amendment No. 3, effective May 20, 2021, added port to port ocean freight rates from baseports in China to Los Angeles/Long Beach. CX_0061. CX_0065.

Response: Admitted.

RPFF36. Amendment No. 4, effective July 6, 2021, modified terms to ensure MSRF would not pay a General Rate Increase (“GRI”). CX_0078; RX_000301 (Goeke Declaration ¶11).

Response: Admitted.

RPFF37. Amendment No. 5, effective September 2, 2021, added port to port ocean freight rates for service from Shanghai to Tacoma/Seattle. CX_0093.

Response: Admitted.

RPFF38. Amendment No. 6, effective October 30, 2021, terminated the door freight rates for service from China to U.S. inland locations Alsip, IL, Bedford Park, IL, Des Plaines, IL, and Itasca, IL. CX_0103-CX117.

Response: Admitted.

RPFF39. On April 18, 2022, MSRF agreed to the final amendment to the Service Contract, Amendment No. 7. RX_000151.

Response: Admitted.

RPFF40. Amendment No. 7 was filed with the Federal Maritime Commission on April 18, 2022. CX_0118; CX-0134; RX_000301 (Goeke Declaration ¶24).

Response: Admitted.

RPFF41. The terms of the Service Contract as amended by Amendment No. 7, agreed to by MSRF and Yang Ming and filed with the Federal Maritime Commission, provided for an MQC) of 10 TEUs. CX_0118; CX_0134; RX_000144-RX_000145.

Response: Admitted.

D. Performance Under the Service Contract

RPFF42. MSRF acknowledged in discovery in this proceeding that Yang Ming could only provide service to MSRF upon MSRF (or its agent) requesting such service from Yang Ming, stating in this respect that “In order for Yang Ming to provide the space it was necessary for MSRF to request the booking of a shipment.” RX_000150.

Response: Admitted.

RPFF43. MSRF’s agent in the United States was Schmidt, Pritchard & Co., Inc., 9801 West Lawrence Avenue, Schiller Park, IL 60176. RX_000235. RX_000232.

Response: Admitted.

RPFF44. MSRF’s agents for MSRF’s U.S. imports from China were its consignors, Qingdao Giftpackers and Weifang Kaimax. CX_00160-CX_00164.

Response: Admitted.

RPFF45. Booking requests and bookings for service under the Service Contract were typically made by MSRF’s agent located in the origin region, in this case for U.S. exports by MSRF or its U.S. agent Schmidt, Pritchard; and for U.S. imports, by MSRF agents Qingdao Giftpackers or Weifang Kaimax. RX_000302; RX_000303 (Goeke Declaration ¶27; 36).

Response: MSRF admits the allegations in RPFF46 insofar as its agents made booking request and bookings for service under the Service Contract. MSRF denies that Respondent's use of the word "typical" to describe the agents' activity is accurate as that word is not defined for use in this context.

RPFF46. In July, 2021, Yang Ming carried three shipments of MSRF cargo, as follows: (i) one shipment (one TEU) from Fort Mill, SC to Qingdao on July 6; and (ii) two shipments from Qingdao to Itasca, IL on July 12 (one 40'HQ) and July 25 (one 40'HQ). RX_000302; RX_000306-RX_000308(Goeke Declaration ¶26 and Exhibit A to Goeke Declaration)(lifting report).

Response: Admitted.

RPFF47. On August 14, 2021, Yang Ming carried an MSRF shipment (one 40'HQ) from Qingdao to Los Angeles, CA. RX_000306-RX_000308 (Exhibit A to Goeke Declaration)(lifting report).

Response: Admitted.

RPFF48. On September 18, 2021, Yang Ming carried an MSRF shipment (one TEU) from Qingdao to Itasca, IL. RX_000306-RX_000308 (Exhibit A to Goeke Declaration)(lifting report).

Response: Admitted.

RPFF49. In April, 2022, Yang Ming carried two shipments of MSRF cargo (2 TEUs) from Fort Mill, SC to Qingdao and one shipment (one 40'HQ) from Qingdao to Los Angeles. RX_000306-RX_000308 (Exhibit A to Goeke Declaration)(lifting report)

Response: Admitted.

RPFF50. In total, Yang Ming carried 17 TEUs of MSRF cargo under the Service Contract, as follows.

Ship/Voyage	On Board Date	Quantity in TEUs	Origin/Destination
EC2119W	7/6/2021	2.0	Fort Mill, SC to Qingdao
PN4127E	7/12/2021	2.25	Qingdao to Itasca, IL
PN4129E	7/25/2021	2.25	Qingdao to Itasca, IL
PS6128E	8/14/2021	2.25	Qingdao to Los Angeles
PS4136E	9/18/2021	2.0	Qingdao to Tacoma, WA
EC2203W	4/19/2022	2.0	Fort Mill, SC to Qingdao
EC2203W	4/19/2022	2.0	Fort Mill, SC to Qingdao
PS6214E	4/22/2022	2.25	Qingdao to Los Angeles

RX_000306-RX_000308(Exhibit A to Goeke Declaration) (lifting report)

Response: Admitted.

E. Port closures and delays due to COVID outbreaks and China's Zero-COVID policy

RPFF51. As found by the Federal Maritime Commission's Fact-Finding No. 29 Officer (Commissioner Rebecca F. Dye). from early 2020 onward, as a result of the COVID-19 pandemic, there were large and unprecedented swings in demand for ocean common carrier services (first precipitously lower, then dizzyingly higher) to and from the United States. Final Report of Fact Finding 29 (issued on May 31, 2022) at 8-11; 41-42. Document publicly available on the FMC website at <https://www2.fmc.gov/readingroom/docs/FFno29/Fact%20Finding%2029%20Final%20Report.pdf/>

Response: MSRF admits the allegations in RPFF51 insofar as there were large swings in supply and demand for ocean common container services. MSRF denies that the Final Report of Fact Finding 29 described these swings using the phrases "precipitously lower" and "dizzyingly higher."

RPFF52. China's strict "zero-COVID" policy led to port closures and restrictions ("lockdowns") throwing ocean common carriers' schedules in 2021 into disarray.

RX_000105¹

¹ Although newspaper/magazine articles are not necessarily subject to official notice for all purposes, the facts reported by these articles certainly are, as they come within the phrase "technical or scientific facts within the general knowledge of the Commission as an expert body." 46 C.F.R. 502.226(a). We have reproduced them as Exhibits for ease of reference.

Response: MSRF admits that the article at RX_000105 discusses China’s strict “zero-COVID” policy. MSRF denies the proposed fact that this article discusses the shutdown of a port, but instead discusses the shutdown of a terminal.

RPFF53. These local lockdowns resulted in widespread disruptions and repercussions for ocean common carriers and their customers throughout 2021. A Reuters’ report noted, “Similar COVID lockdowns last year saw operations at Yantian cut to one-third of capacity, leading to a bigger disruption of global shipping than the one caused by the closure of the Suez Canal for six days last year...” RX_000082-RX_000087.

Response: MSRF admits that the quoted statement appears in this report.

RPFF54. Yang Ming recognized the disruptions COVID lockdowns and terminal closures had on their vessel schedules in 2021. In its public Annual Financial Report of 2021, issued on March 29, 2022, Yang Ming stated:

“In addition to deepening the existing east-west routes, the short-term business plan will improve service quality and maintain capacity and service frequency as well as punctuality. Using THE Alliance’s mechanism and focusing on fast response regarding market disturbances and global supply-chain disruption caused by COVID-19, THE Alliance will implement a flexible vessel cascading plan to quickly respond to the supply and demand variations and maintain service competitiveness [...]“Consider[ing] the impossibility to systematically resolve the capacity erosion caused by global terminal congestion and stricter COVID-19 measures worldwide, in addition to partnership with THE Alliance on capacity recovery, the Company will evaluate vessel deployment plan . . . to provide extra loaders . . . Asia to/from US West Coast...”

2021 Yang Ming Annual Report at 109. RX_000126

Response: MSRF admits that RX_000126 contains the quoted statement.

RPFF55. A Reuters report dated March 16, 2022 summed up the disruption to shipping caused by port closures in Qingdao (China) in 2021: “At Qingdao, an eastern Chinese port city,

there are around 30 vessels waiting to dock compared to an average of seven last year.”

RX_000082-RX_000087.

Response: MSRF admits that the quoted statement appears in this report.

RPFF56. Yang Ming (especially Mr. Goeke) communicated regularly with MSRF (especially Rochi Mirasol) during the 2021-2022 term, as evidenced by the more than 5,000 pages of email correspondence MSRF produced in this proceeding dating from February, 2021 until May, 2022. RX_000302 (Goeke Declaration ¶29).

Response: Admitted.

RPFF57. MSRF was well aware of the problems faced by Yang Ming (and other carriers), including the equipment and closures/reduced productivity at origin ports. RX_000303(Goeke Declaration ¶¶ 33,34).

Response: Admitted.

RPFF58. One way that MSRF learned about these problems was through communications from Yang Ming. RX_000302-RX_000303 (Goeke Declaration ¶¶29, 30, 33, 34).

Response: Admitted.

RPFF59. For example, Yang Ming repeatedly advised MSRF of the situation at origin ports overseas, especially that Yang Ming had constant challenges obtaining equipment at origin in Qingdao and that, due to COVID-19 related port closures in China and congestion in U.S. West Coast ports, capacity was constrained throughout Yang Ming’s network. RX_000303 (Goeke Declaration ¶33); RX_000127-RX_000132.

Response: Admitted.

RPFF60. On May 26, 2021, Yang Ming (Paul Goeke) informed MSRF President David Reich that Yantian Port, Shenzhen Province had closed because of a COVID-19 outbreak, that

as a result oceangoing vessels may stop calling there, and further that carriers' services to and from China generally would be disrupted due to this closure. RX_000244.

Response: Admitted.

RPFF61. China continued to experience outbreaks of COVID long into 2021, causing the near complete shutdown of some port operations in China. The Los Angeles Times reported on August 13, 2021 that

“[a] COVID-19 outbreak that has partially shut one of the world’s busiest container ports is heightening concerns that the rapid spread of the Delta variant will lead to a repeat of last year’s shipping nightmares. The Port of Los Angeles, which saw its volumes dip because of a June COVID outbreak at the Yantian port in China, is bracing for another potential decline because of the latest shutdown at the Ningbo-Zhoushan port in China, a spokesman said. A major terminal at Ningbo-Zhoushan, the world’s third-busiest port, was closed Wednesday after a worker tested positive for the Delta variant of the coronavirus.”

RX_000109-RX_000110.

Response: MSRF admits that the quoted statement appears in this newspaper.

RPFF62. One result of these shutdowns was to further constrain capacity, exacerbating the imbalance between demand and supply. Federal Maritime Commissioner Rebecca F. Dye, Fact Finding No. 29 at 11 (supra).

Response: Admitted.

RPFF63. MSRF was aware that, due to COVID restrictions imposed by China, the port of Ningbo was closed in August, 2021 and as a result Yang Ming was forced to cancel vessel calls there and change its schedules and rotations. RX_000129.

Response: MSRF denies that RX_000129 discusses the closure of the port of Ningbo in August 2021. Rather, RX_000129 discusses the fact that the port reopened and resumed normal operations on August 25, 2021. This implies that the port was closed for a portion of August

2021, and the document indicates that certain vessels would not call at the port of Ningbo on certain voyages.

G. MSRF was Aware of the Effects of COVID on Capacity and Schedules

RPFF64. On June 10, 2021, Yang Ming (Goeke) explained to MSRF (Mirasol)) that port congestion on the U.S. West Coast had affected Yang Ming's schedule and therefore its available capacity: ("Right now we are unable to provide sufficient space for every customer due to "THE Alliance" skip sailing schedule based on the USWC port congestion (this is reducing overall capacity)."). RX_000239-RX_000240.

Response: Admitted.

RPFF65. On June 11, 2021, Yang Ming explained to MSRF why the port closure in Yantian would affect service to Qingdao, and what the general impact would be:

"...our Qingdao office has set up a space plan of 1 FEU per month. [...] right now space and equipment will be extremely tight for the next several months. We recently added new port to port rates to MSRF's contract for all base ports (Yantian/Hong Kong/Shanghai/Ningbo/Qingdao/Xiamen) to Los Angeles and Long Beach. [...] If there is a skip sailing, requests will not just slide to the next vessel. Mathematically, it just doesn't work pushing 2X volume on next week's vessel.")

RX_000238; RX_000303(Goeke Declaration ¶33).

Response: Admitted.

RPFF66. On August 16, 2021, Yang Ming advised its customers (including MSRF) that, due to COVID restrictions imposed by China, the port of Ningbo was effectively closed in August, 2021 when working hours there were reduced to only 2 hours per day. RX_000127

Response: Admitted.

RPFF67. On August 24, 2021, Yang Ming issued a Customer Advisory regarding an incident aboard the vessel YM Truth 006E, deployed by Yang Ming in the Far East-Pacific North West

Coast Loop 2-PN2 Service that occurred before the ship's intended arrival at Yantian. This vessel incident, along with the COVID-19 restriction in Yantian, caused delays, which were explained by Yang Ming, along with a recovery schedule for the vessel YM Truth by a further Customer Advisory dated September 15, 2021. RX_000131.

Response: MSRF admits that this Customer Advisory discusses a situation involving YM Truth voyage 006E and that the vessel ETA in Yantian was September 14th. MSRF denies the fact that RX_000131 includes a recovery schedule for the vessel.

RPFF68. On August 27, 2021, Yang Ming issued a further Customer Advisory, which addressed Yang Ming's specific contingency plans resulting from the closure at Ningbo. RX_000129.

Response: Admitted.

RPFF69. The Los Angeles Times reported in August, 2021:

“China's partial port closures come as the peak shipping season gets started, with retailers stocking up for back-to-school and holiday shopping. Strong consumer demand for imported goods has been driving the record traffic — and containership traffic jams — at Southern California ports, which handle nearly half of U.S. imports from Asia. Infections are threatening to spread at docks just as the world's shipping system is already struggling to handle unprecedented demand with economies reopening and manufacturing picking up.”

RX_000110.

Response: Admitted.

RPFF70. While there were normal mechanical and weather problems, the ongoing COVID crisis was, by far, the most prevalent cause of vessel delays and diversions. In February, 2022, for example, there was a COVID-19 outbreak on a vessel leased and operated by Yang Ming (the PS8 Hyundai Earth 030W), causing additional disruption to THE Alliance's schedules. RX_000132.

Response: MSRF admits that there was a COVID outbreak on PS8 Hyundai Earth 030W. MSRF denies that the vessel was leased and operated by Yang Ming and that the ongoing COVID crisis was the most prevalent cause of vessel delays and diversions because RX_000132 does not support these conclusions.

RPFF71. During the term of the Service Contract, Yang Ming never refused to carry MSRF's cargo but at times it was unable to provide service to MSRF when MSRF demanded it. On June 8, 2021, for example, MSRF emailed Yang Ming regarding two (2) forty-foot High Cube (40'HQ) containers that MSRF's agents proposed to send from Ningbo, China to Bedford Park, IL USA. Yang Ming did not in any way "refuse" the booking, but rather, explained that, unfortunately, the booking could not be made for the suggested sailings as there was no space available. CX_0157.

Response: MSRF denies this proposed fact. MSRF requested a booking for two forty-foot High Cube containers from Ningbo to Bedford Park, IL. Yang Ming could not take the booking. To claim that this is not a refusal is nothing more than semantics.

RPFF72. Yang Ming never asked MSRF to pay more than the contracted rate in order to obtain space. Indeed, when MSRF asked if it could pay more to obtain additional space, Yang Ming specifically declined MSRF's request. On June 10, 2021, Paul Goeke told MSRF: "This is not a rate issue but a space/equipment issue. We aren't accepting increases in rates for space." RX_000239-RX_000240; "...based on the overall demand and lack of equipment/space that we are experiencing YM's Taiwan HQ has declined other importers requesting to pay a premium to get space." RX_000239; RX_000304(Goeke Declaration ¶42).

Response: Admitted.

RPFF73. Yang Ming also explained to MSRF why one of its vessels was delayed.
RX_000274-RX_000284.

Response: Admitted.

F. MSRF's Internal Difficulties with Making Bookings.

RPFF74. MSRF's Chinese and U.S. agents were unaware, or unable, due to scrambled communications between MSRF, to make bookings on a timely basis. RX_000304 (Goeke Declaration ¶38).

Response: Denied. This assertion is based on Mr. Goeke's opinion rather than fact.

RPFF75. MSRF and agents requested bookings late. For example, on May 24, 2021 MSRF asked about space in June, and Yang Ming (Goeke) told MSRF that June sailings had already been fully booked. CX_0154-0155; RX_000302 (Goeke Declaration ¶30).

Response: MSRF denies this proposed fact. CX_0154-0155 is an excerpt from an email in which MSRF questions why it is unable to book shipments. It includes a list of pending shipments and says nothing about June sailings being fully booked. Paragraph 30 of the Goeke Declaration cites MSRF's attempts on April 22, 2021 and May 25, 2021, to book shipments from Qingdao on May and June sailings, respectively. It also claims that the bookings were late, but does not explain if MSRF was late per the Service Contract or if it was too late because the vessels were full.

RPFF76. MSRF instructed its Chinese agent in mid-April to seek bookings for May sailings.
RX_000255-RX_000256.

Response: Admitted.

RPFF77. MSRF at times told its Chinese agents to make bookings with multiple carriers.

On April 15, 2021, for example, MSRF instructed its agent in China to book with more than one carrier. RX_000177.

Response: Admitted.

RPFF78. But on April 15, 2021, MSRF's agent in China told MSRF that it "[had] already booked. will [sic] send booking information when I get it." RX_000175. And on April 29, 2021, MSRF's agent in China informed MSRF: "Here is the booking information...[screenshot]. No have [sic] booking information of Yang Ming now." RX_000173.

Response: Admitted.

RPFF79. On May 6, 2021, MSRF's agent in China told MSRF it had made Yang Ming Booking No. YCEM139228. RX_000197. On May 6, 2021, another carrier told MSRF via email that it had a confirmed booking. RX_000197.

Response: MSRF admits this fact but rejects its relevance to this matter.

RPFF80. Yang Ming suggested to MSRF that it should try to make bookings with Yang Ming on a timely basis, because vessel space was very constrained, and slots filled up quickly. On May 24, 2021, MSRF asked Yang Ming (Mr. Goeke) to "look into this 7 new bookings from our shipper out of Qingdao, China port..." RX_000287-RX_000288. Within 24 hours, Mr. Goeke responded that he already knew from "other account booking requests Qingdao space has been fully booked thru the end of May to mid-June." RX_000287; CX_0154-0155.

Response: Admitted.

G. MSRF cancellation of bookings and delayed tender of cargo.

RPFF81. MSRF tendered only 17 TEUs to Yang Ming during the entire term of the Service Contract. RX_000306-RX_000308 (Exhibit A to Goeke Declaration)(lifting report)

Response: Admitted.

RPFF82. MSRF either did not tender cargo to Yang Ming in the first place or booked cargo but failed to deliver the cargo to Yang Ming. In neither case did Yang Ming have an opportunity to carry such MSRF cargo. RX_000306-RX_000308(Exhibit A to Goeke Declaration)(lifting report)

Response: Denied The cited lifting report does not provide evidence of MSRF's attempts book cargo or its failure to deliver cargo to Yang Ming..

RPFF83. The record shows that, during the term of the service contract, MSRF cancelled and "rolled" (i.e., delayed to a later sailing) shipments that it had booked with Yang Ming, as follows in the succeeding paragraphs. RX_000035; RX_000043; RX_000045; RX_000048; RX_000078(booking cancellations); RX_000304(Goeke Declaration ¶41).

Response: Admitted.

RPFF84. On March 3, 2022, MSRF cancelled a booking of one forty-foot High Cube ("40'HQ") to carry cargo from Fort Mills, SC (via Port of Charleston) to Qingdao (China). RX_000206-RX_000212; RX_000048.

Response: Admitted.

RPFF85. On April 13, 2022, MSRF instructed Yang Ming to roll a booking (YCH933392) it had made for one TEU from Lincolnwood, IL to Qingdao, as the cargo would not be ready to load on time. RX_000203; RX_000054.

Response: Admitted.

RPFF86. On April 21, 2022, MSRF asked Yang Ming for a booking of one 40'HQ from Countryside, IL to Qingdao to be loaded the week of May 9, 2022. RX_000248. On April 22, 2022, MSRF asked Yang Ming to revise the booking to make it 1 TEU only and to change the place of loading to Lincolnwood, IL. RX_000247. Yang Ming told MSRF it did not have a rate applicable to that origin location. RX_000247. On May 11, 2022, MSRF told Yang Ming the cargo will not be ready to load until May 19. RX_000244. As requested by MSRF, Yang Ming cancelled the booking (YCH8488828) and the work order for the trucker who was to pick up the cargo from MSRF. RX_000245.

Response: Admitted.

RPFF87. On April 28, 2021 MSRF cancelled booking (YHU713552) for one 40xHQ (2.25 TEUs) container to be carried from Fort Mills, SC to Qingdao, China. RX_000253.

Response: Admitted.

RPFF88. On April 21, 2021, MSRF cancelled a booking its U.S. agent had made with Yang Ming (YHU712831) for one 40'HQ (2.25 TEUs) because MSRF's booking agent had made duplicate bookings with Yang Ming. RX_000254.

Response: Admitted.

RPFF89. On May 4, 2021 MSRF told Yang Ming to roll one 40'HQ (YHU712953) because its cargo was not ready to ship. RX_000252; RX_000051-RX_000053.

Response: Admitted.

RPFF90. On May 11, 2021 MSRF cancelled a booking (YCHG848828) it had made with Yang Ming for one TEU to be carried from Lockport, IL to Qingdao, China, for the reason that MSRF would not have the cargo ready to load in time. RX_000245-RX_000246.

Response: Admitted.

RPFF91. On May 26, 2021, MSRF again informed Yang Ming that it had to roll a booking (YHU712953) of one 40'HQ (2.25 TEUs) because MSRF would not have the cargo ready in time to ship. MSRF_YANG MING_0003899-3900. RX_000242-RX_000243. This booking was later cancelled. See below.

Response: Admitted.

RPFF92. On June 18, 2021, MSRF cancelled a booking (YHU712593) it had made with Yang Ming. RX_000234 (screenshot shows "Please note YHU712593 was cancelled on 6/18 per [MSRF] request").

Response: Admitted.

H. MSRF's agents' issues and Yang Ming efforts to help

RPFF93. Email exchanges from April 6, 2021 to June 3, 2021 demonstrate that MSRF's agents in China were confused about MSRF's instructions. RX_000160-RX_000180. Specifically, the Chinese agent did not know whether MSRF wanted them with Yang Ming or another carrier. RX_000048.

Response: Admitted.

RPFF94. As late in the contract cycle as July 1, 2021, MSRF's U.S. agent complained that had not been given adequate access by MSRF to Yang Ming's system. RX_000232.

Response MSRF admits that its U.S. agent requested access to Yang Ming's system. . MSRF denies the characterization of this request as a complaint.

RPFF95. Confusion and bad information from MSRF sometimes delayed MSRF's agent in China when requesting space on Yang Ming's service. As late in the contract cycle as August 27, 2021, MSRF's agent in China had the wrong Yang Ming service contract number and, as a result, had difficulty booking cargo on MSRF's behalf. RX_000228.

Response: MSRF admits that the MSRF's agent had the wrong contract number but denies the characterization of this issue as the fault of MSRF.

RPFF96. MSRF's agents had confusion about making bookings in general, not only with Yang Ming. Similar to MSRF's agent who attempted to book under Yang Ming's Service Contract for rates that were not filed, on June 3, 2021, another ocean common carrier explained to MSRF that it could not accept a booking as requested because it was a port-to-port booking for which there was no filed service contract rate. RX_000161.

Response: MSRF denies that RX_000161 expressly relates to an attempt to book under a Yang Ming contract for rates that were not filed.

RPFF97. MSRF did not always seek to have cargo transported at the lowest cost, including by making arrangements with other, higher-cost carriers, rather than looking first to its lower-cost contract carriers. This is evidenced, *inter alia*, by an exchange of emails between MSRF and one of its agents in China. In that exchange, MSRF's Chinese agent told MSRF that Yang Ming had provided a container to the agent for a particular shipment, but that the MSRF had let the Chinese agent "choose the earlier container provided by [an NVO]." RX_000158.

Response: Admitted.

RPFF98. On August 12, 2021, one of MSRF's agents in China informed MSRF that another ocean common carrier with whom MSRF had a service contract said it could not give them a container and the agent wished to use a forwarder instead. MSRF then told its agent, "If [a particular NVO] cannot give you one as well, please use your forwarder." RX_000201.

Response: Admitted.

RPFF99. MSRF sought bookings from non-vessel-operating common carriers ("NVOCCs") as well as ocean common carriers. The "shipments worksheet" produced by MSRF to Yang

Ming on February 14, 2023 shows “declined by” column which included NVOCCs. RX_000134-RX_000153.

Response: Admitted.

RPFF100. On September 9, 2021, after another ocean common carrier told MSRF it could not accept its request, MSRF instructed its agent in China to “try [a second ocean common carrier] and Yangming [sic] for this.” RX_000199.

Response: Admitted.

I. MSRF declinations of space offered by Yang Ming.

RPFF101. On June 11, 2021, Mr. Goeke told MSRF that Yang Ming was having difficulty carrying cargo from China to the United States due to COVID closures of the port of Yantian, which affected vessel rotations and schedules, and hence Yang Ming’s weekly capacity to carry cargo from China to the U.S. Mr. Goeke further suggested to MSRF that it try to try booking its cargo from China the United States by using the port-to-port rates Yang Ming and MSRF had recently added to the Service Contract for transportation between China and Los Angeles/Long Beach. He also explained that, despite the difficult conditions, Yang Ming had set up a special space plan for MSRF, providing for the regular transport by Yang Ming of one FEU (i.e., two TEUs) of MSRF cargo per month. MSRF declined. RX_000238.

Response: Admitted.

RPFF102. In an effort to help MSRF, Mr. Goeke asked MSRF if there were other origins that MSRF could use other than Qingdao and Ningbo, as there was likely to be better equipment availability elsewhere in China. RX_000236-RX_000239; RX_000; RX_000303 (Goeke Declaration¶34).

Response: Admitted.

RPFF103. On August 12, 2021, Mr. Goeke told MSRF that if MSRF's Chinese agent requested it, he would be able to confirm a booking for one forty-foot High Cube (40'HQ) container for carriage from Ningbo to Tacoma, WA. RX_000230. But MSRF failed to take advantage of this offer, as its overseas agent never made the booking with Yang Ming but booked through a forwarder. RX_000229 ("We were informed by our forwarder that the booking number would be obtained tomorrow.").

Response: Admitted.

RPFF104. Yang Ming told MSRF that it would reserve the space for MSRF from Shanghai to Tacoma. Specifically, on September 7, 2021 Yang Ming told MSRF:

"YM SHA [Yang Ming Shanghai] office have reserved 1feu from CNSHA [Shanghai] to USTIW [Tacoma] port on PN4137E. [...] We specially reserved this space and added the new rate recently. YM Shanghai advised this morning to contact them directly for the booking. We have also sent another email to YM-SHA office again for your booking change request."

RX_000226

MSRF's agent in China did not make the booking with Yang Ming.

Response: Admitted.

J. Yang Ming offers of alternative routings.

RPFF105. On May 19, 2021, Yang Ming suggested to MSRF that the Parties include Long Beach in the then-current port to port rates. RX_000285; RX_000301 (Goeke Declaration ¶20); CX_0056.

Response: Admitted.

RPFF106. On June 11, 2021, Yang Ming asked MSRF if it had any other origin locations in China other than Qingdao and Ningbo. RX_000241.

Response: Admitted.

RPFF107. Yang Ming attempted to assist MSRF find alternate routings for its cargo, such as Xiamen. RX_000241; RX_000303 (Goeke Declaration ¶34).

Response: Admitted.

K. Yang Ming assistance with trucking

RPFF108. On October 22, 2021, Yang Ming learned by notice from the trucker MSRF had designated as its Customer-Nominated Trucker (“CNT”), that it had “cut ties with MSRF” and would no longer haul MSRF’s containers. RX_000224-RX_000216-RX_000224.

Response: Admitted.

RPFF109. When Yang Ming apprised MSRF that its trucker had cut ties; MSRF told Yang Ming, “I have no idea and I don’t not [sic] have anybody to replace the trucker on our SC.” RX_000217.

Response: Admitted.

RPFF110. To address this problem, Yang Ming proposed, and when accepted by MSRF filed, Amendment No. 6 to the Service Contract, which ended rates for inbound delivery to store doors in Illinois and retained only the Chicago (CY) rates. CX_0108; RX_000213-RX_000217. MSRF_YANG MING_00002966As Yang Ming explained to MSRF on October 29, 2021:

“To avoid the CN[T] issue incurred the future shipment, we have amended S/C to expire IL Door rate and only keep Chicago (CY) rate. We also remove [sic] current CNT from S/C. Please kindly advise and confirm if approved for FMC filing. We can update CNT & Door rates once you nominated [sic] the new trucker.”)

RX_000220.

Response: Admitted.

L. MSRF ‘s claim for reparations

RPFF111. Although Yang Ming urged MSRF to consider using other origins in China included within the Service Contract, because there was a better chance of booking space, all of the shipments for which MSRF asserts damages originated from Qingdao. Revised CX_0161-CX_0180.

Response: Admitted.

RPFF112. All of MSRF's shipments carried by Yang Ming were made to or from Qingdao. RX_000306-RX_000308 (Exhibit A to Goeke Declaration)(lifting reports).

Response: Admitted.

RPFF113. MSRF's Revised Exhibit E includes a shipment (No. 53) that Yang Ming actually carried. Revised CX_0161. It is thus not an unfulfilled shipment as stated by Mr. Reich and does not belong in Revised Exhibit E. As Yang Ming's lifting report demonstrates, this shipment of MSRF cargo was carried from Qingdao to Itasca, IL departing from the port of origin on July 12, 2021. RX_000306-RX_000308 (Exhibit A to Goeke Declaration)(lifting reports).

Response: Admitted.

RPFF114. MSRF seeks reparations based on a newly introduced theory of "average damages" (Revised CX_0160) that was not presented to Yang Ming in discovery. MSRF has not identified any connection between the shipments in its Revised Exhibit E and any refusal by Yang Ming at all, and certainly not to specific instances where Yang Ming was forced to decline an MSRF booking.

Response: Denied. MSRF's calculation of damages was presented to Yang Ming in discovery via email on February 15, 2023. Yang Ming acknowledged receipt in a reply email.

RPFF115. MSRF's Revised Exhibit E (CX_00161-00180) covers shipments representing 265.5 TEUs, more than double the total number of TEUs (100) that MSRF asserts Yang Ming was required to carry under the Service Contract and three times the number of TEUs MSRF claims Yang Ming failed to carry. Revised CX_0161-CX_0180.

Response: MSRF admits this fact, but denies the implied assertion that MSRF is seeking damages on more than the number of containers not carried under the Service Contract. The basis for denial of this implied assertion is discussed in MSRF's Reply Brief.

RPFF116. Although the Service Contract was effective until April 30, 2022, none of the shipments included in Complainant's Exhibit E were made later than December, 2021. Revised CX_0161-0180. Complainant's Exhibit E shows shipments of cargo that MSRF alleges were transported from China through Canada. Revised CX_0161-0180.

Response: Admitted.

RPFF117. Complainant's Exhibit E shows shipments of cargo that MSRF itself alleges were moved via air. Revised CX_0172.

Response: Admitted. These shipments were included because MSRF had to move them via air when no ocean vessel space was available.

RPFF118. MSRF's Revised Exhibit E includes multiple shipments that MSRF has acknowledged it had tendered to multiple carriers, not just to Yang Ming. Compare, Revised CX_0161-CX_0180; RX_000139-RX_000140 (MSRF Responses to Interrogatories)

Response: Admitted.

RPFF119. The documents purporting to support Revised Exhibit E (CX_0161-0180) do not support MSRF's summary table. For example, at Revised CX_0180, the Revised Exhibit E asserts MSRF was charged \$10,776.84 for the shipments for File #31 and cites Bates No.

0010369 to support that proposition. Review of that document shows something quite different – it shows an invoice from an NVOCC for demurrage in the amount of \$230 plus an administrative fee of \$50. RX_000156. As another example, File #30, Row 1 of Column of Complainant’s Revised Exhibit E asserts that “Actual Freight Charges” for this shipment were \$26,788.00. CX_0170. But the underlying documents that MSRF provided (only to us), show that the invoice from the carrier (in that case an NVOCC) reflected an actual amount of \$26,500 for “ocean freight charge (C.O.D.)” RX_000155.

Response: Admitted.

Dated: July 3, 2023

Respectfully submitted,

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